

CHAPTER SIX

6. Comparisons of Public and Private Enterprises

- **How do we distinguish PE from their Private counterparts?**
- **What are their major similarities and differences?**
- **In what system does one become more important than the other?**
- **What are the arguments for preferring one over the other?**

- **The coexistence of public and private enterprises is more evident in countries that adopt "mixed economic policy", but with relative weights of roles in the national economy.**
- **Their comparative roles may be defined by particular laws or by a public policy, or may evolve out of convention.**
- **Though these sectors may be viewed differently in various political environments, they coexist as competitors and collaborators.**
- **They also maintain relationship in various spheres through mutual interests or regulations.**

6.1 Differences and Similarities

(A) Differences

Public and Private Enterprises could be distinguished based on their:

- **Ownership,**
- **Specific organizational purposes or objectives,**
- **Management style,**
- **Scope of operations,**
- **Governing laws/charters and orientations,**
- **Responsibilities,**
- **Accountability, and so forth.**

- **Ownership:** The first and outright difference b/n the two is ownership; Public and private enterprises are owned by the gov't and private entrepreneurs, respectively.
- Even shareholding companies are clustered as PEs; hence considered as owned by the gov't.
- **Objectives:** Another major characteristic of PEs that distinguishes it from private firms is the multidimensionality of its objectives.
- The objectives of PEs are always complex and even conflicting compared to private enterprises.

- **Criteria of performance are correspondingly more complex and less clear-cut in PEs than in private firms.**
- **Management Style:** The two sectors also vary in their management style and environment.
- **PEs are not self-contained decision-making entities; they always operate under government or political scrutiny.**
- **Managerial autonomy is relative in the case of PEs compared to the private ones.**
- **Critical and strategically important decisions are not within the absolute competence of the PE mgmt. rather are taken at the gov't level.**

- **In the case of private enterprises, all mgmt. decisions are taken internally within the limits of macro-level gov't laws and policies governing the sector.**
- **Criteria of Investment:** Public and private enterprises also vary in their investment objectives and performance criteria; i.e.
 - ✓ **Private entrepreneurs invest in ventures where maximum financial returns could be secured,**
 - ✓ **Whereas, PEs consider social goals as criteria of investment besides financial profitability.**

- **Scope of Operations:** The scope of operations of private enterprises is limited compared to PEs.
- There are certain areas that will be allowed only to PEs, which cannot be operated by private firms.
- PEs do have special responsibilities to execute government laws and policies than the private ones.
- PEs are expected to set ethical business standards in all their activities.
- PEs are held accountable for various issues compared to the narrow scope of accountability issues of private enterprises.

(B) Similarities

- **Public and private enterprises are similar in terms of who controls them: both are controlled by their owners.**
- **The principal governing authority of both sectors is the board of directors.**
- **In both sectors, the owners or shareholders nominate or appoint board members.**
- **They have natural similarity in all basic patterns of operations and motives in the “corporate dimension” of PEs.**

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6.2 Relationships and Partnerships

The relationship and partnership between public and private enterprises takes place in many ways; but the major aspects include:

(a) As suppliers and purchasers of inputs and outputs:

- **The output of one of the sectors may be used as an input to the other and the vice versa.**
- **Such transactions could take place through special arrangements or mediation of the market (normal market rules).**

(b) As competitors:

- **Mixed economy policy permits and even encourages the entry of both sectors in similar ventures to operate on a competitive basis.**
- **This pattern creates relationship, which has two advantages:**
 - (i) competition creates efficiency,**
 - (ii) competition provides gov't the chance to make inter-firm comparisons and make policy reforms.**

(c) PEs as promoters of the private sector

- **Developing countries often set their dev't objectives by promoting and broadening the entrepreneurial base of the private sector.**
- **Many countries deliberately create large PEs to demonstrate prototype business operations and serve as catalysts for the dev't of small-scale private industries.**

(d) Other forms of collaborations:

The two sectors can have relationships in other areas such as in: consultancy, contracting and/or sub-contracting of businesses and joint ventures.